

As most of you know, the price will not go in a linear way (either up or down). It will halt, bounce, fall at certain price levels, and these price levels play a crucial role in intraday trading. Because intraday trading is all about trading in a lower timeframe as compared to the daily timeframe and weekly timeframe, price encounters these price levels very often.

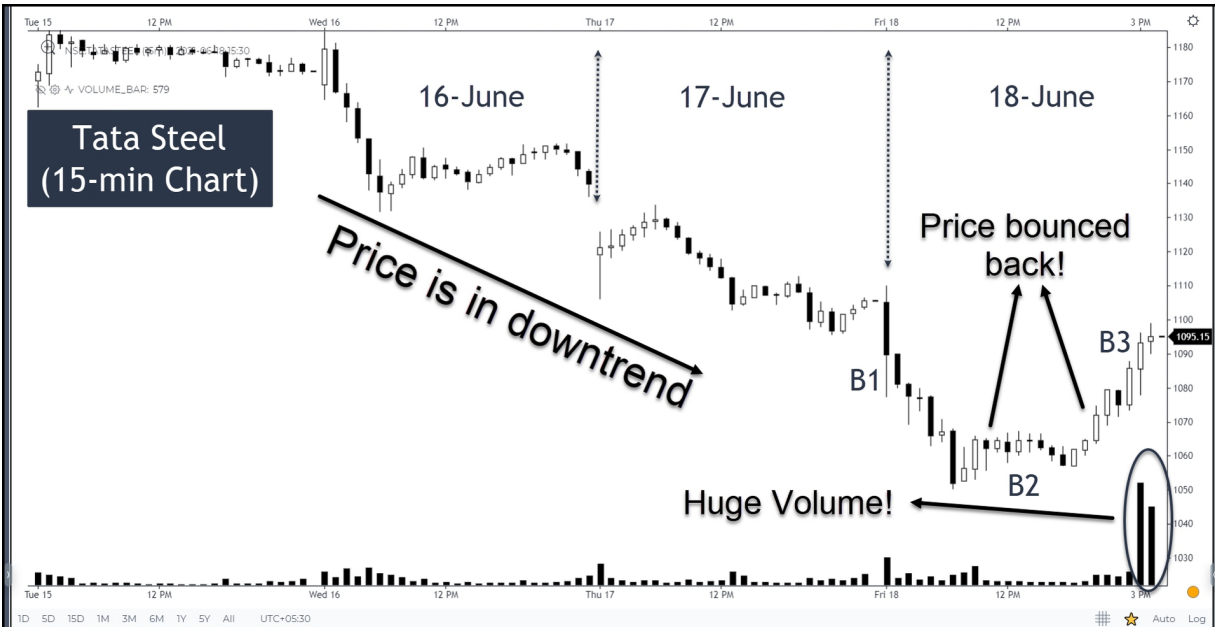


Image 3.1 – Tata Steel 15-min chart

The above chart is a 15-min chart of Tata Steel, and it shows the price action for 15th, 16th, 17th, and 18th June 2021.

The overall price action is in a downtrend till 18th June. When it opened on 18th June, the first candle indicated significant selling. However, it received some excellent support from the buyers (recognized as bottom wicks at 'B1').

Later during the day, it consolidated in the range of 1050 to 1070, and the price displayed complete consolidation ('B2').

When the price broke 1070 levels in the last half, it received two huge buying volume spikes ('B3'). So, it indicates the presence of strong buyers at 1050-1070 levels.

Let us assume you opted for a short trade (intraday level) during the open on 18th June. Then, if you would have known that the 1050-1070 price level